Coimisiún na Scrúduithe Stáit
State Examinations Commission

Leaving Certificate Examination 2021

Business – Higher Level

Sections 2 and 3

Thursday 17 June – Morning 9:30 - 12:30

Candidates are required to answer:

The Applied Business Question in Section 2 AND

Three questions from **Section 3** as follows:

- **One** question from **Part 1**
- **One** question from **Part 2**
- And **One** other question from either **Part 1** or **Part 2**

All questions in Section 3 carry equal marks.

Do not hand this up

The 2021 examination papers were adjusted to compensate for disruptions to learning due to COVID-19. This examination paper does not necessarily reflect the same structure and format as the examination papers of past or subsequent years.

Section 2	Applied Business Question	80 marks

This is a compulsory 80 mark question based on Units 3, 4 and 5.

Write your answer in the Answerbook containing **Section 1**

Miriam's Crèche

Miriam Brophy set up Miriam's Crèche and Childcare Ltd in 2017. Miriam's Crèche offers childcare services for children aged between three months and 12 years of age. Miriam aims to be the leading provider of childcare services in the area by 2030. The vision for the business is to offer each child the surroundings to develop to their full potential with friendly, professional staff. Miriam manages the business on a day-to-day basis. She places an importance on attracting and retaining high quality staff. Miriam communicates all key messages at the weekly staff meetings. In 2019, Miriam started to research taking over a competitor. After 12 months of negotiations, Miriam purchased a rival business which owned three nearby crèches.

Prior to setting up the business, Miriam's experience with budgeting, insurance and taxation was limited. However, as a business owner, she had to familiarise herself with new payments such as commercial rates. Miriam recognised the need to be tax compliant. Miriam hired the services of a local accountant to ensure the company paid the correct amount of taxation on their profits. She also received advice from an insurance broker. They discussed the need to have adequate policies in place to protect the business in case a child is injured in the crèche. The meeting also highlighted the need to have cover in place against the risk of financial loss as a result of a member of staff claiming for injury.

Miriam charges a higher price than any of her competitors in the area. This strategy has paid off as Miriam's Crèche has a waiting list in all of her childcare facilities. Miriam also understands the need to promote the business. The crèche offers a bus service to and from the 'afterschool' for primary school children. The bus is branded with the company logo. Annually, Miriam sponsors sports kits for local underage sports teams. She feels that sponsorship and an active social media campaign are more effective than paying for advertisements. When sponsoring teams, Miriam insists her business logo is visible on the team kit and the team must organise a photo event with local newspapers.

(A) Outline, using examples, the different types of planning that contribute to the success of Miriam's Crèche. (30)

(B) **(i)** Discuss, with reference to the text, the types of business insurance you would recommend for Miriam's Crèche.

(ii) Describe **two** types of taxation Miriam's Crèche might pay. (30)

(C) Evaluate the **price** and **promotion** element of the marketing mix for Miriam's Crèche. (20)

Section 3 — 180 marks

Write your answers in the Answerbook containing **Section 1**

Answer **Three** questions from **Section 3** as follows:

One question from **Part 1**

One question from **Part 2**

and **One** other question from either **Part 1** or **Part 2**.

All questions carry 60 marks.

Part 1
People in Business / Business Environment

Question 1 — **People in Business**

Read the information supplied and answer the questions which follow.

Louise and Cormac wanted to buy their first home. They visited the CCPC website for advice. They placed a bid on a house they liked, which was accepted. They signed their mortgage contract in their solicitor's office and received the keys to their new property.

(A) Explain, using examples where appropriate, **three** essential elements of a valid contract. (20)

(B) Evaluate the role of the Competition and Consumer Protection Commission (CCPC). (20)

(C) Outline **three** types of redress available to employees who have been unfairly dismissed under the Unfair Dismissals Act 1977/2015. (20)

Question 2	**Domestic Environment**

Read the information supplied and answer the questions which follow.

> Inflation hits 10 year low!
>
> Adapted from The Irish Times

(A) Illustrate the impact of the following economic variables on Irish businesses:

Interest rates **Inflation rates** **Employment** (20)

(B) Apart from taxation, discuss the different ways in which the Irish Government affects the labour force in Ireland. (20)

(C) Read the information supplied and answer the questions which follow.

> Community development has never been more important.

(i) Explain the term 'community development'.

(ii) Describe the **economic** and **social** benefits of community development. (20)

Question 3	**International Environment**

Read the information supplied and answer the questions which follow.

	China and 14 Asia-Pacific countries agreed a historic free trade deal in November 2020. Trade barriers continue to impact trade between some countries.

(A) Outline, using examples, the barriers to free trade used by some countries. (20)

(B) **(i)** Explain the term **globalisation**.

(ii) Analyse how changes in the international economy are impacting Irish businesses. (20)

(C) Evaluate the impact on Ireland of any **two** of the following policies:

(i) The Common Agricultural Policy

(ii) The Competition Policy

(iii) The European Union Social Charter. (20)

Question 4	**People in Business**

Read the information supplied and answer the questions which follow.

The ASTI conducted a ballot for industrial action in October 2020.

(A) **(i)** Outline **two** causes of industrial relations disputes.

(ii) Discuss **two** types of official industrial action available to employees involved in an industrial dispute with their employer. (20)

(B) Describe a co-operative relationship and a competitive relationship between two producers in the same line of business. Use appropriate examples to support your answer. (20)

(C) Read the information supplied and answer the questions which follow.

Premier League soccer player Jack Wilshere and his club West Ham Utd agree 'mutual termination of midfielder's contract'.

Adapted from the Irish Independent

(i) Explain the method of terminating a legal contract as referred to in the text above.

(ii) Outline other methods for terminating a legal contract.
Provide an example in each case. (20)

Part 2
Enterprise

Question 5 **Enterprise/Managing**

Read the information supplied and answer the questions which follow.

Ballymakenny Farm Heritage & Speciality Potatoes

Maria Flynn and her husband David are potato farmers. Maria saw a niche in the market to start growing their own speciality Purple Violetta Potatoes.
Ballymakenny Farm now supply their speciality potatoes to leading chefs and restaurants.

(A) Discuss the entrepreneurial skills and characteristics you would associate with entrepreneurs like Maria and David. (20)

(B) Illustrate the factors that a business needs to consider when communicating with its various stakeholders. (20)

(C) **(i)** Define the term **delegation**.

(ii) Describe the benefits of delegation for:

- management
- the employees. (20)

Question 6	**Managing**

Read the information supplied and answer the questions which follow.

KERRY	Kerry Group is a leading taste and nutrition company. Total Quality Management (TQM), reward schemes and teamwork are evident in many leading companies such as Kerry Group.

(A) **(i)** Distinguish between **forming** and **norming** as stages in team development.

(ii) Outline **two** benefits of **teamwork** for the employees in a business. (20)

(B) Discuss the benefits of adopting a Total Quality Management (TQM) system for a company such as Kerry Group. (15)

(C) Read the information supplied and answer the questions which follow.

Businesses offer a range of rewards to attract high calibre staff.

(i) Explain the following types of financial and non-financial rewards.

Commission **Employee Share Purchase Plan** **Flexitime**

(ii) Describe **one** other type of reward that you believe motivates employees. (25)

Question 7 **Business in Action**

Read the information supplied and answer the questions which follow.

Moon Moods

The entrepreneurs behind Moon Moods set up a business that produces soft, comfortable and beautiful bedding for children and babies.

(A) Outline the internal **and** external sources of new product ideas for businesses. (20)

(B) Moon Moods has provided the following information for their new product line:

Forecast Output (Sales)	30,000 units
Selling Price per unit	€15
Fixed Costs	€200,000
Variable Costs per unit	€5

Illustrate the following by means of a breakeven chart:

(i) Breakeven point

(ii) Margin of safety at the forecast output

(iii) Profit at forecast output. (25)

(C) **(i)** Define the term **margin of safety**.

(ii) Discuss **one** limitation of a breakeven analysis when making business decisions. (15)

Question 8	**Business in Action**

Read the information supplied and answer the questions which follow.

Aimee Connolly

Aimee Connolly started working behind a makeup counter when she was a transition year student. While studying at university, Aimee decided to create her own makeup business and produce makeup products. *'Sculpted by Aimee'* is now a very popular makeup brand. The products are sold nationally and internationally.

(A) Discuss the three challenges below that a new business start-up must address.

Ownership structure **Production** **Finance** (20)

(B) Describe **the first four** stages involved in the development process of a new product. (20)

(C) **(i)** Define the term **market segmentation**.

(ii) Illustrate **two** different ways a market can be segmented. (20)

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